BOARD OF DIRECTORS

...through its two nominees, Noel Tata and Venu Srinivasan, on the board



Noel Tata
Chairman, Tata Trusts



Natarajan Chandrasekaran
Chairman, Tata Sons



Harish Manwani
Chairman, Nomination and Remuneration Committee



Venu Srinivasan
Chairman Emeritus, TVS Motor



Anita M. George
Investment professional



Saurabh Agrawal
Chief Financial Officer, Tata Group

- Noel reads out a legal opinion, invoking Article 118 of Tata Sons' Articles of Association, which requires the affirmative assent of a majority of the two Trusts' nominee directors, Noel and Srinivasan, for a resolution requiring a vote
- Harish Manwani, chairman, Nomination and Remuneration Committee, citing another legal opinion, overrides the split between Noel and Srinivasan by exercising his casting vote in favour of a fresh term for Chandra
- Noel then seeks a third legal opinion and shareholder ratification of Chandra's extension. The board agrees. Noel reportedly leaves, believing both matters will remain pending. Later, the board announces Chandra's reappointment. Tata Trusts calls the decision a 'legal nullity'

be one of the most acrimonious legal battles in Indian corporate history.

The Tata Group is no stranger to internal upheavals. While the five-year legal battle with former Tata Sons chairman, the late Cyrus Mistry, was of recent origin, the group also witnessed a major tussle between promoters and professionals after Ratan Tata took charge as chairman in 1991. Ratan successfully challenged powerful, autonomous old-guard executives, or 'satraps', such as Russi Mody of Tata Steel, Darbari Seth of Tata Chemicals and Ajit Kelkar of Indian Hotels, centralising and modernising the conglomerate in the process.

The latest battle, if it moves from the boardroom to the courtroom, could have a far-reaching impact on the group's reputation and impair potential investments, capital allocations and partnerships in its companies. Preparations appear to have begun, with Tata Sons roping in top lawyer Harish Salve to represent the firm, while Tata Trusts has chosen reputed lawyer and Rajya Sabha MP Abhishek Manu Singhvi as its counsel.

Boardroom Drama

Matters turned dramatic at the September 17 board meeting. When Chandra stepped aside as his reappointment came up, four members—Srinivasan, George, Manwani and Agarwal—voted in favour, while Noel opposed it. Noel then raised the requirement for an affirmative vote by the Tata Trusts' nominee directors on the Tata Sons board for any resolution to be passed. At this juncture, Manwani, who is also chairman of Tata Sons' Nomination and Remuneration Committee, explained why Chandra was the best man to lead Tata Sons into an RBI-mandated listing. Backing his argument with legal advice from lawyer Sudipta Sarkar, Manwani also invoked what has since become a widely debated and contested issue: to override the 'split vote' between the two trustees, Srinivasan and Noel, he exercised his 'casting vote'.

SRINIVASAN'S DECISION TO GO AGAINST TATA TRUSTS IS SYMPTOMATIC OF THE DIFFERENCES THAT HAD BEEN BREWING FOR SOME TIME

Noel's preparation showed that he had anticipated Srinivasan favouring the opposite camp when it came to the resolutions. Srinivasan, chairman emeritus of Chennai-based TVS Motor, was brought on to the Tata Sons board by Ratan in August 2016, two months before the then chairman Mistry was ousted. Srinivasan is also the longest-serving member of the Tata Sons board.

After expressing his dissent, Noel tabled all three documents at the meeting for inclusion in the minutes. He also made two submissions. Given the differing legal opinions obtained by the two sides, he wanted a third opinion. He also sought shareholder ratification of Chandra's appointment at the Tata Sons AGM. The AGM had been pending since the Charity Commissioner in Mumbai ordered one of the key Tata trusts, Sir Ratan Tata Trust (SRTT), not to hold any meeting amid an inquiry into whether